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Presents



Session 10 - Implementation of "Predictable - Consistency" Model with Option selling

29th July 2022, Friday, 8pm - 10pm

Mr. Pranav VK

CEO – The Intraday Expert, Anyone Can Trade!



For the Traders / By the Traders



Presents

Implementation of "Predictable - Consistency" Model with Option selling



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Anyone Can Trade!**



For the Traders / By the Traders

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Speaker Introduction

Pranav VK is the CEO of Theintradayexpert.com

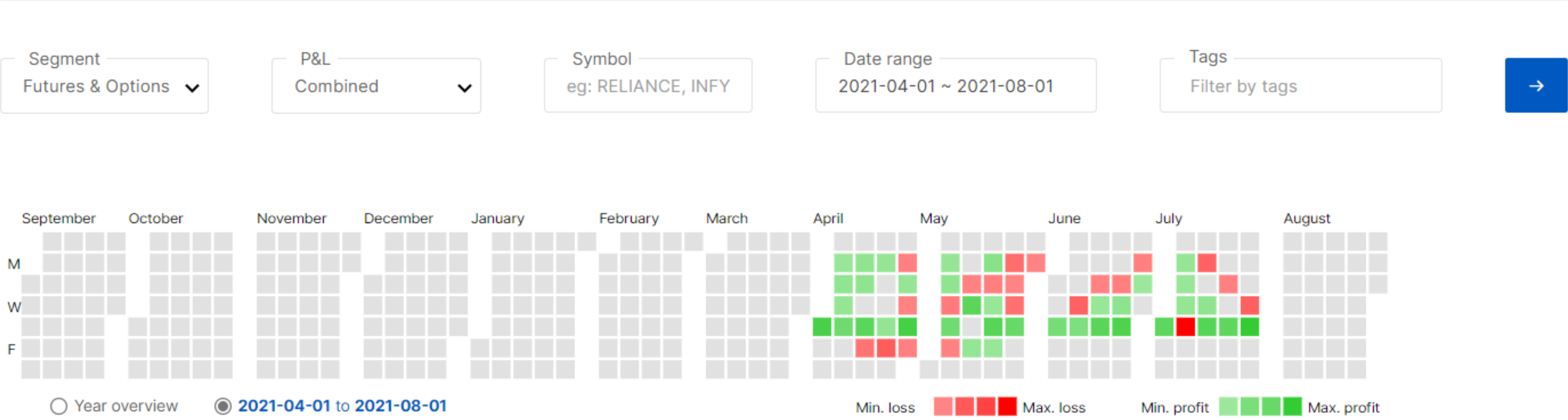
He is a certified trader from **NISM on Equity Derivatives**, NSE Academy on Online Management Development Program on Intraday Trading , NSE Academy on winning option strategies for volatile markets & has won the Zerodha consistency challenge twice doing intraday trading. He is an engineer turned trader, who is now a trainer as well. He has guided **100+** working professionals & business owners to become **independent profitable traders** in the Indian Stock Market.



PRANAV VK

Proof of the model

P&L



Realised P&L	Charges	Other credits & debits	Net realised P&L	Unrealised P&L
+11.57L	1.19L	-5.27k	+10.32L	0

Expected Risk & Returns

Max drawdown = 6%*

Loss per day = 1%*

Probability of profit = 88% (Out of 100 weeks, 88 weeks will be profitable!)*

Average returns per year = 40 to 48%*

Time investment as a trader = 4 days per month – traded on **every Thursday of the month** only
(Biggest challenge for many Business owners & working professionals)

*These numbers will vary based on your skill and effort

Capital Required

Min capital required – ₹1.5L (Adjustments will be limited)

Good capital to execute efficiently with adjustments for learning - ₹5L

Recommended capital - ₹20L (Where you can consistently make 1L – 1.5L per month)



RETAIL TRADERS DON'T IGNORE THIS!!

Let me share a story



By the end of this session

You will be able to :

- Understand who **should** trade & who **should not**
- Understand why option selling is my **preferred style** of trading & why you can do it too
- Understand the **steps** involved in creating a system for yourself which can give you **consistent results**
- Learn the system that myself & my students use **till today**



Understand who should trade & who should not

S → Skills: High Income Skills should be specializes and you must be capable of solving complex problems that are not easy to replace.

I → Income: You must be capable of saving 15-50% of your income. If not upskill yourself for 6 months.

S → Savings: You must save 6 months worth of expenses if you are in a stable industry and 12 months if you are in a volatile industry.

P → Protection: Protection plans like term insurance, health insurance.

I → Investment: Risk takers can do aggressive investments while Risk averse can opt for less aggressive options.

P → Preserve: Once you have a built up your wealth, its at most important to preserve the same within the family, by having power of attorneys and other protection plans.

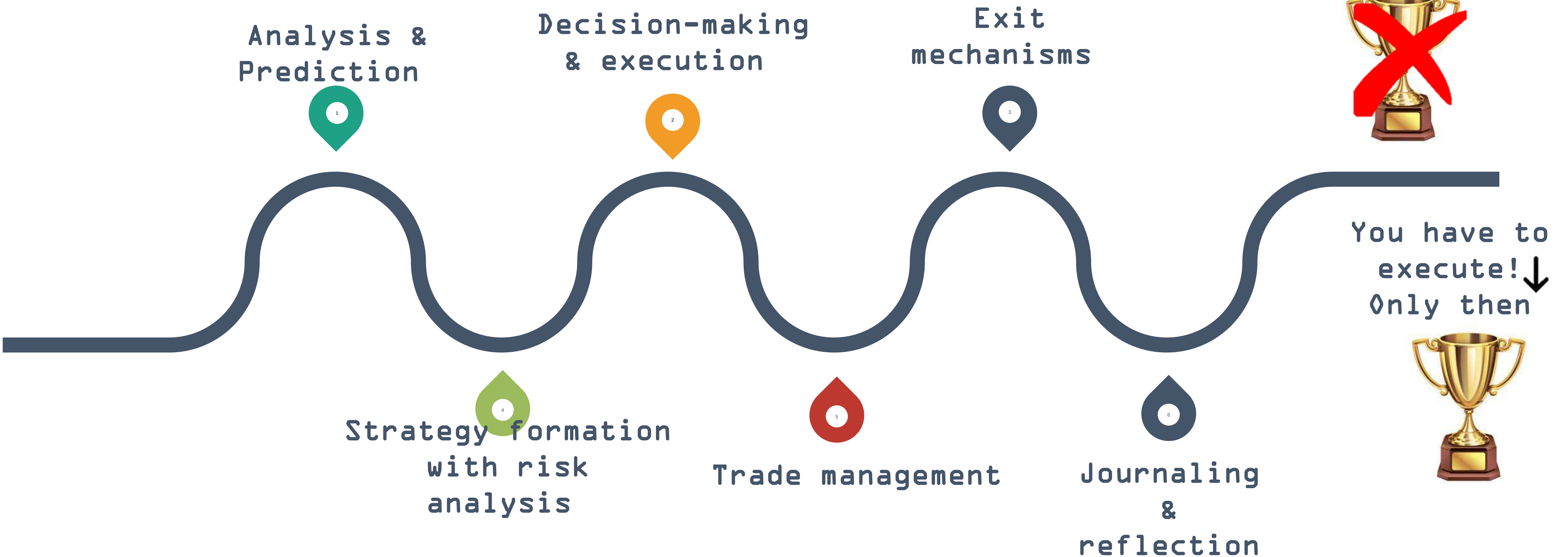
Why I prefer option selling?

- I love '**high probability of profit**' trading
- **Peace of mind** while trading and after trading
- **Scalability** is amazing for a retail trader looking for secondary income
- Well **defined risk to reward** – (practically implementable)
- **Time** is our best friend - Theta decay

Most importantly you can create systems which are **PREDICTABLE** and **CONSISTENT**!



Roadmap to consistency



SYSTEM



INPUTS & OUTPUTS

- Ultimate goal – **Net profitability**
- Net profitability – Calculated using **concept of edge**



Concept of EDGE

Here's an example :

1. Analysis & Prediction

- Global Markets sentiment
- Pre-open market
- Market structure – 1 Day time frame
- Open Interest data
- India vix – Volatility Index
- Observations of premiums compared to previous weeks

2. Strategy formation with risk analysis

- Now all of us know that **85% of premiums will fall to 0**, but one thing we notice is that all contracts **don't fall to 0 at once**.

Ex - Nifty SPOT - 16000

17000 CE might expire at 2pm,
Whereas 16500 CE might expire at 3pm

Even though the 17,000 CE contract expires earlier it moves slowly as it is OTM contract this slow movement gives us (option seller) a great opportunity to trade in peace

2. Strategy formation with risk analysis

- With this observation, you can do a short sell of both a **call option** and a **put option** that is **out of the money** to maintain **high probability** of profit.
- You can either chose to short sell both CE and PE at once or start with one of them and eventually add the other
- The **quantities/position sizing** have to be maintained to manage the risks.

2. Strategy formation with risk analysis

- We use **GTT orders** as well as managing the positions on both PE and CE to neutralize the delta
- Apart from being profitable, **how** we become profitable is very important not just in the financial perspective but also in the **health perspective**.
- On one hand, When you're trading in option buying or if you're a scalper the **anxiety levels** are naturally high which is against human nature this increases the amount of **stress** which eventually affects your **heart** in the long run.
- On the other hand, option selling of OTM contracts not only is **peaceful** but also healthier both **financially** and **mentally**.

2. Strategy formation with risk analysis

- The most important aspect in trading or investment in any asset is to be clear about our **downside** than increasing the probability of our upside- similarly, when you start implementing this strategy it is imperative for you to start with **smaller capital** and move your way up **based on your results**.
- For every trade that we take, a **minimum 1:1 risk to reward** is maintained to ensure net profitability

3. Decision-making and execution

When it comes to decision making it's a **high energy consumption** activity for the brain



OR



3. Decision-making and execution

Due to these above reasons maintaining a **high energy regime** is of utmost importance- here are a few things you can follow to maintain high energy.

- Drinking sufficient water at regular intervals whilst trading
- Sufficient sleep
- Eating light
- Not analyzing the markets tick to tick
- Making logical decisions, based on data (PS- if you're struggling to make logical decisions, it means you don't have a system) as opposed to emotional decisions



3. Decision-making and execution

- While all of the above are important, this is where most traders **mess up**
- It is crucial to **execute** as soon as you decide assuming that you have decided based on data
- The data that we refer to here is our **risk to reward** and our **probability of profit**-if there's a **positive edge** entering the trade, if not - ignore it because as I have heard from many people and have experienced firsthand were always posed with two options



Tools & Preparations

- Demat account with good UI platform & charting
- Sensibull subscription or equivalent
- Laptop with good internet connection with backup phone + power backup
- Additional screen improves the results & makes execution very easy
- Journal
- 1 Litre water bottle
- 0 distractions from calls/tips/random notifications
- Good sleep the previous night

4. Trade management



5. Exit mechanisms

Most of the traders worry about entry, it's the exit that determines our ultimate result. Some of the efficient ways of exit are as follows :

- Exiting the position when the premium reaches 3, as decay from 3 to 0 takes a longer time compared to decay from 10 to 3
- Exiting using GTT orders by setting up price points to have certainty on the risk to reward
- Exiting or booking a loss if you identify a significant trend change as opposed to the initial view.

Lost opportunity is better than lost money

6. Journaling and reflection

- The strategy discussed above is **mentally exhaustive** as the trading is carried out throughout the day.
- Due to this a lot of thoughts pop up during live trading, hence it's important to rationalize on the thought process by putting it out on paper.
- This not only helps you with your thought process but also improves your decision-making for the next trading session.
- Following this practice is very difficult in terms of discipline but very rewarding as it gradually eliminates **decision-making** based on emotions and **inculcates** decisions based on data



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Here's how it works

	VALUE (₹)	BROKERAGE*	REGULATORY & STATUTORY CHARGES
Buy	210,000	₹ 20	₹ 37.8
Sell	209,000	₹ 20	₹ 37.8
Loss	1,000		

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- **Free Auto Square off For MIS**
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- **350+ Cash Market Scrip For MIS Trading**
- **Place Bracket Order for Nifty/Bank Nifty**
- **AMO Order**
- **Pre-IPO Order**

The screenshot displays the Espresso trading platform. On the left, a 'MARKET' section lists various scrips with their current prices and changes. On the right, a 'POSITION' table provides a detailed breakdown of the user's trades and holdings.

Script Name	Net Qty	Net Rate & LTP	Total MTM	Total BPL	Todays MTM	Todays BPL	Settled MTM	Buy Value	Sell Value
MINDALCO	1	597.00	23.50	0.00	23.50	0.00	0.00	597.00	0.00
MINDALCO	1	596.15	22.35	0.00	22.35	0.00	0.00	596.15	0.00
SBIL	0	0.00	0.00	-4.75	0.00	-4.75	0.00	441.45	436.70
SBIL	0	0.00	0.00	1.30	0.00	2.50	0.00	877.50	880.00
BANKNIFTY 28Apr2022	25	33177.70	-4942.50	0.00	-4942.50	0.00	0.00	829442.50	0.00
BANKNIFTY 31Mar2022	-25	33645.10	4036.75	0.00	4536.75	0.00	0.00	0.00	406002.50
NIFTY 28Apr2022	30	16275.00	16212.00	0.00	13640.00	0.00	-1627.00	0.00	0.00
NIFTY 31Mar2022	30	16221.00	-13680.00	0.00	-14537.50	0.00	1657.50	0.00	0.00
Total			176.00	-3.25	55.40	-2.25	-230.00	831956.40	-426002.50

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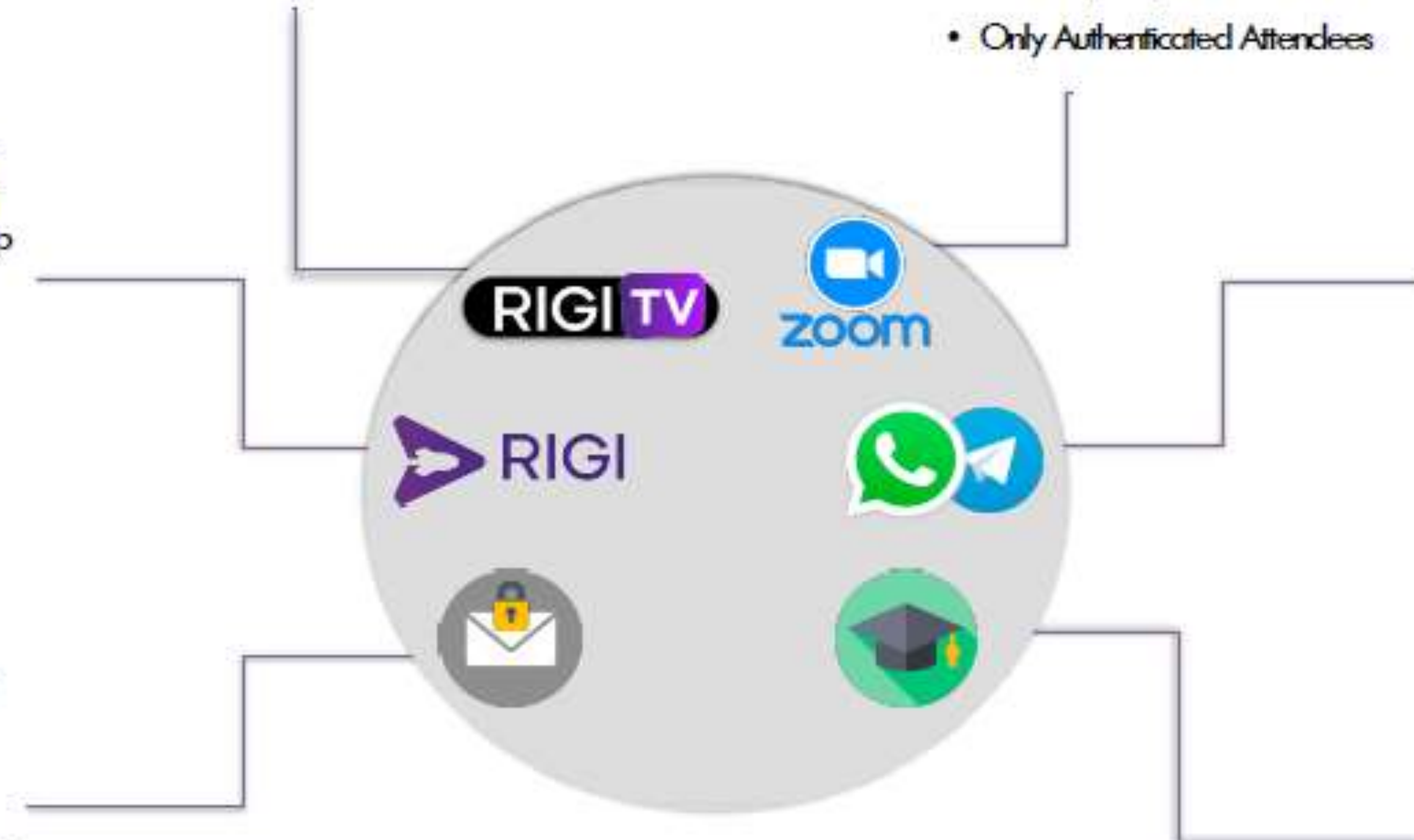
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KEYNOTE SPEAKERS

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2. A master market predictor & a GANN Disciple
3. One of the best known Elliot wave technician in India
4. A Million \$ Fund manager
5. One of the best known Positional Weekly option Writer.
6. One of the expert Straddle players with 100 lots

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1. Stay in a 5 star hotel for 3 days and 2 nights with all 8 meals included valued at **20000/-**
(Hilton Garden Inn, Manyata techpark , Bengaluru)
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3. Brokerage credits without expiry date for every one worth **25000/-**
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10th Quiz of the Series

If the market price is more than your strike price, your put option is_____.

- A. At the Money
- B. In the Money
- C. Out the Money

Winner Reward

1. Daily one winner will be selected.
2. All the 12 winners of each day will have free access to the Intrazon event of 2022 with life time recording access
3. There is a **Man of the Option Omega Series award** for 1 winner who should win at least 3 times in the 12 day series.
4. He will get **Educational goodies worth 100000/-** from Traders Gurukul

Quiz 09 - Winner

VIX is a sentiment analysis indicator that measures _____.

- A. Volatility
- B. Crowd Psychology
- C. Trading Ranges



Manu Patel

VIX is a measure of crowd psychology. It is a measure of the level of volatility currently priced into Nifty index options.

The Answer is *Crowd Psychology*

Questions & Answers

Lets clear your confusions?



If you feel that in the last 2 hours there was beneficial content which would help you to better your trading mindset to approach the market and loved the way the content was delivered, Let's take it further by you visiting the website



Thank you



Pranav VK

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